

Back on the Slow Track

Just when it seemed the market had stabilized, the 9/11 attacks on the twin towers of the US World Trade Center plunged markets worldwide into another spell of gloom.

Over a period of less than two weeks of the attacks, the Sensex slid 15 per cent to slump to an eight-year low of 2,600. More foreign brokerages closed shop, and so did scores of small brokers. In less than twenty months, the mood in the market had swung from euphoria to one of utter despair. Many of us traders, including I, wondered how long we would be able to survive if the situation continued. In the previous bear market, people had been talking about companies closing down. Now some were talking about stock exchanges shutting down. The 9/11 attacks deepened the recession in the US, and the ripple effect was felt in economies across the world.

In January 2002, Bharti Tele-ventures announced its IPO, the first 100 per cent book-built issue in the history of the Indian capital market. In a book-built issue, the price is discovered by gauging investor demand for the shares. This was different from a fixed-price IPO, where the company offers shares to the public at a price decided by it. Mobile phones had gained in popularity by then, but most people thought it would be a privilege of the well-off for some time to come. Consequently, the ambitious projections by the company in the run-up to the IPO were mostly ignored by prospective